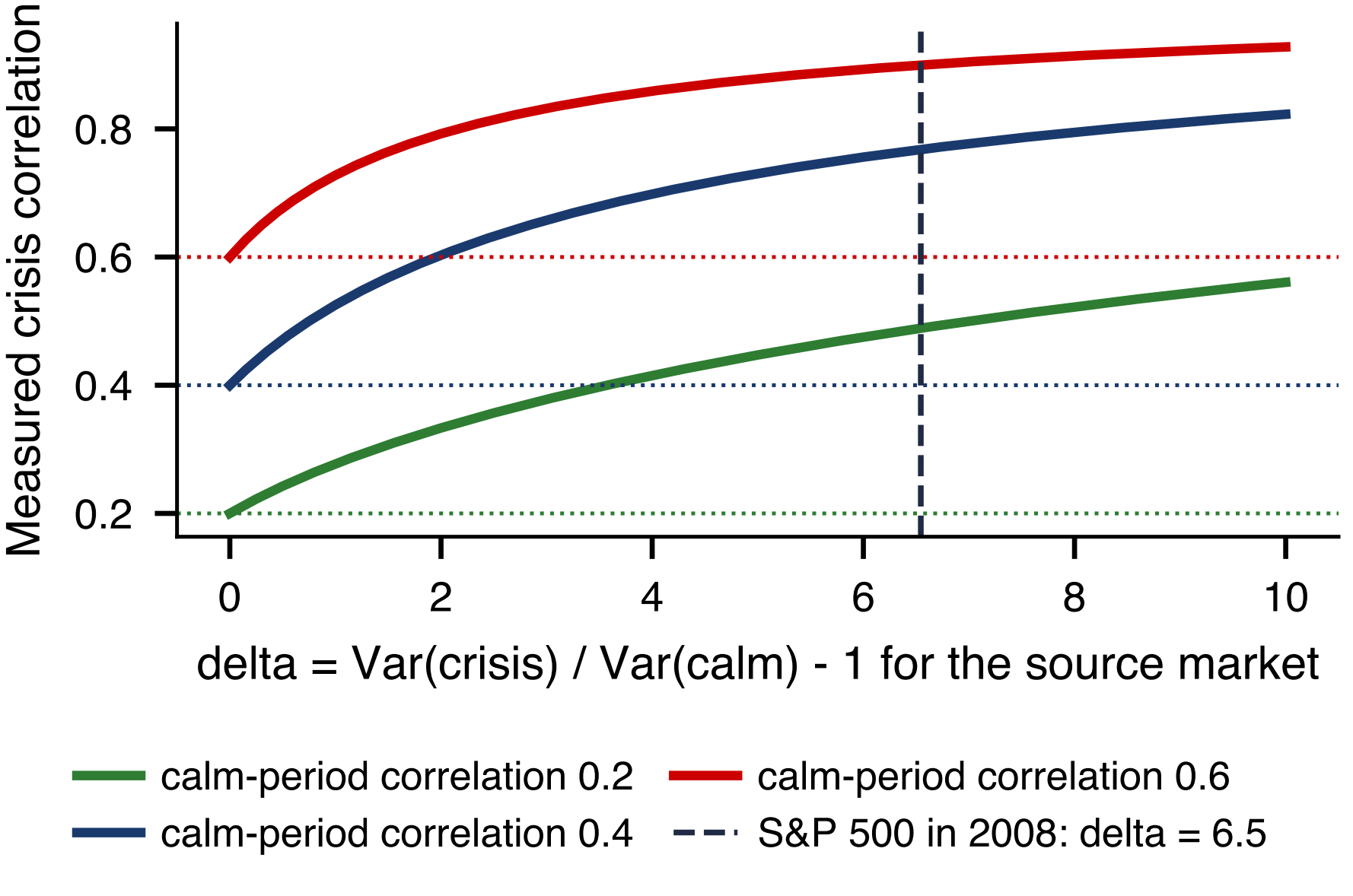
Measured crisis correlation
0.8
0.6
0.4
0.2
0
2
4
6
8
10
delta = Var(crisis) / Var(calm) - 1 for the source market
calm-period correlation 0.2
calm-period correlation 0.6
calm-period correlation 0.4
S&P 500 in 2008: delta = 6.5